

Undertaking to the Australian Competition and Consumer Commission

Given under section 87B of the *Competition and Consumer Act 2010* (Cth) by **Saputo Inc, Saputo Dairy Australia Pty Limited ACN 166 135 486 and Warrnambool Cheese and Butter Factory Company Holdings Limited ACN 071 945 232**

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1. Person giving the Undertaking

This Undertaking is given to the Australian Competition and Consumer Commission (ACCC) by Saputo Inc. and its Australian subsidiaries Saputo Dairy Australia Pty Limited ACN 166 135 486 and Warrnambool Cheese and Butter Factory Company Holdings Limited ACN 071 945 232 (WCB), (together referred to as Saputo in this Undertaking).

2. Background

2.1 The parties to the proposed acquisition

- (a) Saputo Inc. is an international dairy processor, with operations in Canada, Argentina, the United States and Australia. Saputo's Australian operations are conducted through WCB. WCB produces a range of dairy products for domestic and export markets.
- (b) Murray Goulburn Co-operative Co. Limited (ABN 23 004 277 089) (Murray Goulburn) is an Australian public company, and is a holding company for a number of companies in the group. Murray Goulburn's main activities include the processing of milk of its shareholder suppliers and the manufacture, marketing and distribution of dairy products and the operation of trading stores as a service to the suppliers. Murray Goulburn's products are both sold in Australia and exported internationally.
- (c) Murray Goulburn's business is divided into three core business areas:
 - (i) Dairy Foods - manufacture and supply of fresh milk, UHT milk, cheese, milk powders and butter;
 - (ii) Ingredients and Nutritionals - manufacture and supply of bulk and customised dairy ingredients and nutritional milk powders; and
 - (iii) Other - manufacture and supply of animal nutrition products, operation of trading stores which sell farm supplies and services and a milk broking business.

2.2 The Proposed Acquisition

By a Sale and Purchase Agreement dated 27 October 2017 (SPA), Saputo Dairy Australia Pty Ltd agreed to acquire substantially all of the operating assets and operating liabilities of Murray Goulburn (the Proposed Acquisition) subject to conditions including:

- (a) approval of the Foreign Investment Review Board;
- (b) approval of a majority of shareholders in Murray Goulburn;
- (c) competition approval which includes a clearance from the ACCC; and
- (d) certain other conditions concerning transfers of two fresh milk plant operating leases and other matters.

2.3 The Murray Goulburn Business and Processing Plants proposed to be acquired

The Proposed Acquisition comprises:

- (a) all assets related to dairy processing, manufacturing, distribution and sale of dairy products, including without limitation, Murray Goulburn's facilities, freehold land, equipment, inventory, intellectual property (including brands) as well as rights under

operating permits, operating leases, land leases and contractual arrangements with customers and suppliers (including farmer suppliers), as well as assets of Murray Goulburn related to raw milk procurement, field services to farmer suppliers, trading stores and related activities; and

- (b) all liabilities of the Murray Goulburn business (actual or contingent), other than specifically excluded liabilities, such as Murray Goulburn's external financial indebtedness (net of cash), Murray Goulburn's obligations to the MG Unit Trust and other liabilities including potential liability associated with the current proceedings for a class action and ASIC and ACCC regulatory claims.

The assets to be acquired include Murray Goulburn's milk processing facilities in Australia located at:

- (c) Cobram, Kiewa, Koroit, Laverton North, Leongatha, Maffra and Rochester in Victoria;
- (d) Erskine Park in New South Wales; and
- (e) Smithton in Tasmania.

The Proposed Acquisition does not include Murray Goulburn's processing plant at Edith Creek, Tasmania (which has been separately sold by Murray Goulburn), assets relating to cash, shares in dormant subsidiaries and shares in entities owned or controlled by Murray Goulburn engaged only in the operation of the MG Unit Trust or other administrative functions.

Murray Goulburn may also sell the shares in (or business of), the wholly owned subsidiary, Murray Goulburn Trading Pty Ltd which operates the trading stores business; in which case, those assets will also be excluded from the Proposed Acquisition.

2.4 The ACCC's review

- (a) On 17 November 2017, the ACCC commenced its public review of the Proposed Acquisition.
- (b) The ACCC undertook market inquiries and considered information provided by the parties to the Proposed Acquisition, industry participants and others. The purpose of the ACCC's inquiries was to assess whether the Proposed Acquisition would have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 50 of the *Competition and Consumer Act 2010 (Cth)* (Act).
- (c) On 1 March 2018, the ACCC published a Statement of Issues in which it expressed its preliminary view that the proposed acquisition of Murray Goulburn's processing plant at Koroit by Saputo would be likely to result in a substantial lessening of competition in the market for the acquisition of raw milk in Western Victoria and South East South Australia.
- (d) The ACCC was concerned that if Saputo owned both its Allansford plant and Murray Goulburn's Koroit plant, it would own most of the processing capacity in Western Victoria and South East South Australia. Although there were other processors able to collect raw milk in the area, their plants either had limited capacity or were some distance away, making them less of a competitive constraint on Allansford than Koroit.
- (e) The ACCC was therefore concerned that the proposed acquisition would result in lower farmgate milk prices being paid to farmers in Western Victoria and South East South Australia than would be the case if Koroit's ownership remained separate to Allansford.

2.5 Objective of this Undertaking

Saputo does not agree with the ACCC's concerns or consider that the Proposed Acquisition would be likely to have the effect of substantially lessening competition in any market. However, to address the ACCC's competition concerns referred to in clause 2.4(c) above, Saputo has offered this undertaking pursuant to section 87B of the Act.

The objective of this Undertaking is to address the ACCC's concerns which could otherwise arise as a consequence of the Proposed Acquisition. The Undertaking aims to achieve this objective by placing obligations on Saputo to:

- (a) ensure that the Divestiture Assets are sold to an Approved Purchaser;
- (b) create or strengthen a viable, effective, stand-alone, Independent and long term competitor in the market for the acquisition of raw milk in Western Victoria and South East South Australia;
- (c) ensure that the Approved Purchaser has all the necessary associated assets and rights to compete effectively with Saputo and other dairy processors in the market for the acquisition of raw milk in Western Victoria and South East South Australia;
- (d) maintain the economic viability, marketability, competitiveness and goodwill of the Divestiture Assets prior to divestiture pursuant to this Undertaking;
- (e) provide for the effective oversight of Saputo's compliance with this Undertaking.

3. Commencement of this Undertaking

This Undertaking comes into effect when:

- (a) this Undertaking is executed by Saputo; and
- (b) this Undertaking so executed is accepted by the ACCC, (the **Commencement Date**).

4. Cessation of Ongoing Obligations

4.1 Withdrawal

Saputo may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.

4.2 Revocation

The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

4.3 Waiver

The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or extend the date by which any such obligation is to be satisfied.

4.4 Survival

Unless and until this Undertaking is withdrawn in accordance with clause 4.1, clauses 1, 2, 3, 4, 9, 11, 12, 13, 14, 15, 16 and 17 survive completion of the obligations in clauses 5, 6, 7, 8, 10, Schedule 4 and **Confidential Schedules 5, 6 and 7**.

5. Divestiture of the Divestiture Assets at Koroit

5.1 Divestiture

- (a) Saputo must, in accordance with this Undertaking, divest, or cause the divestiture of, the Divestiture Assets only to an Approved Purchaser.
- (b) In the event that clause 10 applies, Saputo must not authorise the Approved Divestiture Agent to divest the Divestiture Assets to a purchaser other than an Approved Purchaser.
- (c) Saputo must divest, or cause the divestiture of, the Divestiture Assets to the Approved Purchaser by:

 - (i) the sale, assignment, transfer and/or licence of the Divestiture Assets to the Approved Purchaser, pursuant to the Approved Sale and Purchase Agreement on or before the end of the Initial Sale Period, otherwise clause 10 applies;
 - (ii) the transfer or grant to the Approved Purchaser of all Consents pursuant to clause 5.2;
 - (iii) the transfer of any Transferred Personnel required pursuant to clause 5.3;
 - (iv) compliance with any Approved Transitional Technical Assistance Agreement required pursuant to clause 5.4;
 - (v) compliance with any Approved Transitional Supply Agreement required pursuant to clause 5.7,

and, to ensure the effective operation of the Divestiture Assets, must provide the rights and entitlements set out in Schedules 4, 6 and 9, unless Saputo is notified in writing by the Approved Purchaser that it does not require some or all of these rights and entitlements.

5.2 Consents To Transfer of Divestiture Assets

- (a) Saputo must:

 - (i) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before the Divestiture Completion Date;
 - (ii) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
 - (iii) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents;
 - (iv) enter into an agreement with the Approved Purchaser and approved by the ACCC in relation to any goods or services that are required for the operation of the Divestiture Assets which may be affected by any failure to gain a Consent.
- (b) If, seven Business Days before the Divestiture Completion Date, the Approved Purchaser fails to obtain or is unable to obtain one or more of the Consents as required under clause 5.2, then Saputo must:

- (i) immediately provide to the ACCC in writing details of the:
 - A. Consents that have not been obtained;
 - B. reasons why the Consents have not been obtained; and
 - C. information or material required to obtain the Consents; and
 - (ii) continue to do everything in its power to satisfy clause 5.2 as soon as possible after the Divestiture Completion Date (and until such time as clause 5.2 is satisfied).
- (c) Even if Saputo has complied with clause 5.2, it remains a breach of this Undertaking if Saputo is unable to effect the divestiture of the Divestiture Assets by reason of a failure to obtain Consents.

5.3 Transferred Personnel at Koroit

- (a) At the option of the Approved Purchaser, Saputo must transfer or cause to be transferred to the Approved Purchaser all Koroit Personnel who are, in the view of the Approved Purchaser, required to maintain, operate or conduct effectively the Divestiture Assets, and who consent to the transfer of their employment or contract for service to the Approved Purchaser (**Transferred Personnel**).
- (b) Schedule 8 to the Undertaking is a non-exhaustive list of the proposed personnel as at the date on which Saputo executes this undertaking who are proposed to be the Transferred Personnel and Saputo will update that Schedule within 5 days after the Control Date and provide a copy to the ACCC.
- (c) Saputo must transfer or cause to be transferred the Transferred Personnel to the Approved Purchaser as from the Divestiture Completion Date, except as provided under clause 5.9(c).
- (d) When fulfilling its obligations under clause 5.3(a), Saputo must:
 - (i) not directly or indirectly discourage any Transferred Personnel from any obligations to provide services to the Approved Purchaser;
 - (ii) effective on the Divestiture Completion Date, release the Transferred Personnel from any obligations to provide services to Saputo;
 - (iii) effective on the Divestiture Completion Date, release the Transferred Personnel from any non-compete or similar restraint of trade obligation, to the extent that such an obligation would otherwise prevent the person from performing his or her contemplated role in relation to the Divestiture Assets or Unsold Assets; and
 - (iv) not procure, promote or encourage the transfer of any of the Transferred Personnel from the Approved Purchaser to a Saputo Group Member for a period of twelve months after the Divestiture Completion Date.

5.4 Technical Assistance

- (a) At the option of the Approved Purchaser, Saputo must supply or cause to be supplied to the Approved Purchaser, under an Approved Transitional Technical Assistance Agreement, any Technical Assistance that is required by the Approved Purchaser in order to operate the Divestiture Assets.
- (b) Saputo must ensure that any Approved Transitional Technical Assistance Agreement, and any renewal or extension of an Approved Transitional Technical

Assistance Agreement, agreed to by Saputo and the Approved Purchaser, provides for the supply of Technical Assistance:

- (i) on a reasonable transitional basis for a period that is nominated by the Approved Purchaser and approved in writing by the ACCC; and
 - (ii) at cost and otherwise on arm's length terms.
- (c) To avoid doubt, Saputo must seek prior written approval from the ACCC of any renewal or extension of an Approved Transitional Technical Assistance Agreement. Without limiting the ACCC's discretion, in making a decision on whether to approve a renewal or extension of an Approved Transitional Technical Assistance Agreement, the ACCC will have regard to the criteria set out in clauses 5.4(a) and 5.4(b).

5.5 Guarantee of Milk Supply to Approved Purchaser

During the Milk Supply Period, Saputo will supply raw milk to the Approved Purchaser on the following terms:

- (a) **Price** - the net monthly farmgate milk cost to Saputo, being the announced milk price each month inclusive of all price incentives and any price movements announced during the milk season, less any permitted deductions and charges; plus an amount for the overhead recovery as specified in **Confidential Schedule 5** to this Undertaking, plus the current inbound logistics cost at the Koroit Plant as specified in **Confidential Schedule 5** to this Undertaking.
- (b) **Volume** - subject to clause 5.5(c), the **Confidential Guaranteed Milk Supply Volume**.
- (c) **Volume adjustment** – the Approved Milk Supply Auditor must be authorised to make volume adjustments in accordance with the mechanism specified in **Confidential Schedule 5** to this Undertaking.
- (d) **Title and risk** in the milk supplied to the Approved Purchaser will pass at the point of delivery to the Approved Purchaser.
- (e) **Determination of Volume Adjustments** - Any adjustments required under this clause will be determined by the Approved Milk Supply Auditor on a monthly basis commencing from the end of the first full calendar month after the Divestiture Completion Date and whose decision will be final and binding.
- (f) **Approved Milk Supply Auditor** - Saputo must appoint an Approved Milk Supply Auditor as from the Divestiture Completion Date and the provisions of clauses 9.1, 9.2, 9.3, 9.4, 9.7 and 9.8 shall apply to the appointment in the same manner as those provisions apply to the Approved Independent Auditor. The functions of the Approved Milk Supply Auditor may be performed by the Approved Independent Auditor if approved by the ACCC.
- (g) The Approved Milk Supply Auditor will be authorised to determine as an expert and on a final basis, all disputes or differences as between Saputo and the Approved Purchaser in connection with the supply of the Guaranteed Milk Supply Volume, including any disputes as to price or concerning the level and amount in any month of seasonal fluctuations in volume (to ensure that supply is reasonably consistent with the generally accepted patterns for production of raw milk in the Western Victorian region).
- (h) **Cooperation** - Saputo must give access to relevant records and all necessary cooperation to the Approved Milk Supply Auditor and may require, as a term of the Approved Sale and Purchase Agreement, that the Approved Purchaser must agree

that it gives access to relevant records and all necessary cooperation to the Approved Milk Supply Auditor on a confidential basis in order for the Approved Milk Supply Auditor to calculate and advise the parties of any adjustment due under this clause and **Confidential Schedule 5**. Such cooperation shall include but is not limited to provision to the Approved Milk Supply Auditor on a confidential basis of a full list of the identities of each supplier of raw milk:

- (i) to Saputo as at the Divestiture Control Date; and
 - (ii) to the Approved Purchaser during the Milk Supply Period.
- (l) Saputo must procure that the Approved Milk Supply Auditor provides a monthly report to the ACCC about any adjustments to the Guaranteed Milk Supply Volume, including calculations, for the duration of the Milk Supply Period.

5.6 Assistance to Transfer milk supply to Approved Purchaser

- (a) On the Divestiture Completion Date, Saputo must provide to the Approved Purchaser the contact details of all suppliers from whom raw milk was collected by Murray Goulburn in the 2017/2018 season and delivered to the Koroit Plant (**Koroit Suppliers**), whose supply arrangements with Murray Goulburn are intended to transfer to Saputo from the Control Date.
- (b) During the Milk Supply Period, upon the Approved Purchaser's request, Saputo must take all steps necessary to facilitate the assignment or novation to the Approved Purchaser of Saputo's contracts with any of the Koroit Suppliers who notify Saputo that they would like to transfer to the Approved Purchaser.
- (c) From the Control Date until the end of the Milk Supply Period, Saputo must not do anything to discourage or deter any of the Koroit Suppliers from transferring or novating their milk supply to the Approved Purchaser.

5.7 Other Transitional Supply Arrangements

- (a) At the option of the Approved Purchaser, Saputo must ensure or procure the continued supply to the Approved Purchaser, under an Approved Transitional Supply Agreement, of any goods or services, other than raw milk supply, that are required by the Approved Purchaser in order for the Approved Purchaser to be established as a viable, effective, stand-alone, independent and long-term competitor operating the Koroit Plant. A non-exhaustive list of such goods or services is set out at Schedule 9 of this Undertaking.
- (b) Saputo must ensure that any Approved Transitional Supply Agreement and any renewal or extension of an Approved Transitional Supply Agreement agreed to by Saputo and the Approved Purchaser:
 - (i) is for a reasonable transitional period of not less than three months and not more than 12 months; to be nominated by the Approved Purchaser and approved in writing by the ACCC; and
 - (ii) is on such terms other than price which are no less favourable to the Approved Purchaser than arm's length terms.
- (c) To avoid doubt, Saputo must seek prior written approval from the ACCC of any renewal or extension of an Approved Transitional Supply Agreement. Without limiting the ACCC's discretion, in making a decision on whether to approve a renewal or extension of an Approved Transitional Supply Agreement, the ACCC will have regard to the criteria set out in clauses 5.7(a) and 5.7(b).

5.8 Customer contracts

- (a) Schedule 6 to this Undertaking contains a list of the Customer Contracts which exclusively relate to the Divestment Assets as at the date Saputo executes this Undertaking. Saputo will amend that Schedule and provide an updated copy to the Commission within 5 business days after the Control Date identifying the Customer Contracts as at the Control Date.
- (b) Saputo must take all steps to procure the consent of each counterparty of the Customer Contracts to assign and novate to the Approved Purchaser all the Customer Contracts which have been novated, assigned or otherwise transferred to Saputo by Murray Goulburn as at the Control Date (and which continue to be in force as at the Divestiture Completion Date).
- (c) Schedule 6 to this Undertaking contains a non-exhaustive list of the Non-exclusive Customer Contracts which partially relate to the Divestment Assets as at the date Saputo executes this Undertaking.
- (d) Prior to the Divestiture Completion Date, Saputo must take all steps necessary to procure the consent of the relevant customer to the substitution of the Non-exclusive Customer Contracts listed in Part B of Schedule 6 to this Undertaking (other than the confidential contract referred to in Part B of Schedule 6, the benefit of which will be transferred to the Approved Purchaser as provided in that Schedule) with separate replacement supply agreements, effective from the Divestiture Completion Date, that apportion the rights and obligations to supply the customer under each of the Non-exclusive Customer Contracts, as between the Approved Purchaser and Saputo, on substantially similar terms to, and in proportion to the percentage of products delivered to the customer in the three month period prior to the Control Date that were:
 - (i) produced at the Koroit plant; or
 - (ii) produced at any other Murray Goulburn plant.

5.9 Deferred Divestiture of Transport fleet at Koroit

- (a) At the option of Approved Purchaser and subject to clause 5.9(c), as from the end of the Milk Supply Period, Saputo must transfer or cause to be transferred to the Approved Purchaser the Koroit Transport Fleet pursuant to clause 5.1(c)(i), so that the Approved Purchaser may undertake the collection and delivery of milk from that Date.
- (b) With effect from the end of the Milk Supply Period Saputo must:
 - (i) take all steps necessary to secure the consent of the relevant lessor to assign or novate or cause to be assigned or novated to the Approved Purchaser, the lease and other operating rights for the Koroit Transport Fleet; and
 - (ii) offer the Approved Purchaser the right to employ the relevant personnel engaged in the operation, maintenance, management, logistics management or operations oversight of the Koroit Transport Fleet and otherwise on the terms of clause 5.3 above.
- (c) The Approved Purchaser may, at its option, during the Milk Supply Period and in conjunction with a change in the Guaranteed Milk Supply Volume by Saputo, require Saputo by not less than 21 days' notice (Transport Notice) to transfer that part of the Koroit Transport Fleet as necessarily required by the Approved Purchaser so that it may itself undertake collection and delivery of raw milk from suppliers.

- (d) If the Approved Purchaser gives a Transport Notice to Saputo under clause 5.9(c), Saputo must:
 - (i) take all steps necessary to secure the consent of the relevant lessor to assign or novate or cause to be assigned or novated to the Approved Purchaser, the milk haulage vehicles as specified in the Transport Notice; and
 - (ii) in combination with the vehicles referred to in a Transport Notice, offer the Approved Purchaser the right to employ the relevant personnel nominated in the Transport Notice engaged in the operation, maintenance, management, logistics management or operations oversight of the relevant vehicles referred to in the Transport Notice and otherwise on the terms of clause 5.3 above.
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6. Process for approving a proposed purchaser

6.1 Provision of a notice for a Proposed Purchaser

- (a) To seek ACCC approval for a Proposed Purchaser, Saputo or the Approved Divestiture Agent must provide the ACCC with a notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft sale and purchase agreement or executed sale and purchase agreement (conditional on ACCC approval), a draft transitional technical assistance agreement (where required by the Proposed Purchaser), and a draft transitional supply agreement (where required by the Proposed Purchaser).
- (b) As soon as possible following the Commencement Date, Saputo will share a list of potential purchasers of the Divestiture Assets with the ACCC.
- (c) Unless the provisions of clause 10 apply, the Proposed Purchaser Notice must be provided to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period. If clause 10 applies, Saputo or the Approved Divestiture Agent must provide a Proposed Purchaser Notice as soon as practicable after identification of a Proposed Purchaser.

6.2 Conditional sale and purchase agreement

Prior to the end of the Initial Sale Period, Saputo may enter into a sale and purchase agreement with a Proposed Purchaser for the Divestiture Assets subject to that agreement containing a condition that the agreement will not come into force or be capable of being completed, unless and until the ACCC has granted approval of:

- (a) the Proposed Purchaser;
 - (b) the sale and purchase agreement (with any amendments required); and
- if required by the Proposed Purchaser:
- (c) the proposed transitional technical assistance agreement; and
 - (d) proposed transitional supply agreement.

6.3 Provision of conditional sale and purchase agreement to ACCC

Subject to clause 6.1(c), if Saputo enters into an executed sale and purchase agreement in accordance with clause 6.2, Saputo must:

- (a) within one Business Day of the execution of the sale and purchase agreement, provide to the ACCC a Proposed Purchaser Notice; and
- (b) not take any step with any third party to complete that agreement or to transfer any of the Divestiture Assets to the Proposed Purchaser until approval has been given by the ACCC.

6.4 Approval of a Proposed Purchaser

- (a) The ACCC shall have the discretion to approve or reject in writing the Proposed Purchaser identified in the Proposed Purchaser Notice, which includes consideration of:
 - (i) the draft sale and purchase agreement or executed sale and purchase agreement (conditional on ACCC approval) attached to the Proposed Purchaser Notice;
 - (ii) any draft transitional technical assistance agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clauses 5.4(a) and 5.4(b); and
 - (iii) any draft transitional supply agreement attached to the Proposed Purchaser Notice, in accordance with the criteria in clauses 5.7(a) and 5.7(b).
- (b) Without limiting the ACCC's discretion, in making the decision pursuant to clause 6.4(a), the factors to which the ACCC may have regard include whether the:
 - (i) draft sale and purchase agreement is consistent with this Undertaking;
 - (ii) Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (iii) Proposed Purchaser is independent of Saputo;
 - (iv) Proposed Purchaser is of good financial standing;
 - (v) Proposed Purchaser has an intention to maintain and operate the Divestiture Assets as a going concern;
 - (vi) Proposed Purchaser is able to operate the Divestiture Assets effectively; and
 - (vii) divestiture of the Divestiture Assets to the Proposed Purchaser will address any competition concerns, including in relation to the likely long-term viability and competitiveness of the Divestiture Assets under the ownership of the Proposed Purchaser.

6.5 Revocation of approval of a Proposed Purchaser

The ACCC may revoke its approval of a Proposed Purchaser as an Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

7. Divestiture Assets Protection

7.1 Protection of the Divestiture Assets

From the Control Date, Saputo must not sell or transfer its interest, or any assets comprising part of, or used in, the Divestiture Assets (other than the sale of goods and services in the ordinary course of business) or make any Material Change, except in accordance with this Undertaking and the terms of the Approved Sale and Purchase Agreement or (subject to the other terms of this Undertaking) as required to allow completion of the Proposed Acquisition.

7.2 Saputo's obligations in relation to the Divestiture Assets prior to completion of divestiture

Without limiting this clause 7, Saputo must, from the Control Date until the Divestiture Completion Date, take all steps available to it to:

- (a) ensure that the Divestiture Assets are managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Assets at the Control Date;
- (b) continue to provide or procure access to working capital and sources of credit for the Divestiture Assets in a manner which is consistent with the financing of the Divestiture Assets immediately prior to the Control Date or that is required by the Independent Manager in order to effectively operate the Divestiture Assets;
- (c) continue to provide or procure administrative and technical support for the Divestiture Assets in a manner which is consistent with the operation of the Divestiture Assets before the Control Date or that is required by the Independent Manager in order to effectively operate the Divestiture Assets;
- (d) ensure or procure the continued supply to the Divestiture Assets of any goods or services, other than raw milk supply, that are required by the Independent Manager in order to effectively operate the Divestiture Assets;
- (e) continue and maintain, by novation from Murray Goulburn, all existing Agreements for the supply of raw milk to the Divestiture Assets on terms no less favourable than the terms offered by Saputo to other suppliers whose supply arrangements with Murray Goulburn transfer to Saputo from the Control Date;
- (f) continue and maintain, by novation from Murray Goulburn, all existing Agreements for the supply of raw milk;
- (g) maintain the Customer Contracts and Non-exclusive Customer Contracts that are in place at the Control Date and comply with **Schedule 6** in respect of the arrangements set forth therein;
- (h) maintain all other Material Contracts with other suppliers and/or other third parties that are in place at the Control Date;
- (i) renew or replace upon expiry Material Contracts for the provision of goods or services to the Divestiture Assets on commercial terms no less favourable than the current terms to the Divestiture Assets;
- (j) maintain the supply of those goods and services that are supplied by the Divestiture Assets to existing customers in a manner consistent with the supply of those goods and services as at the Control Date;

- (k) maintain the standard of manufacture, distribution and sale of those products which are supplied by the Divestiture Assets as at the Control Date; and
- (l) carry out promotion and marketing of the products which form part of the Divestiture Assets in accordance with any plans established before the Control Date.

7.3 Transferred Personnel

- (a) From the Control Date until the Divestiture Completion Date, Saputo will not, other than as required by this Undertaking:
 - (i) terminate or vary the terms of employment or engagement of any of the Transferred Personnel, or agree to do any of those things (except in the ordinary course of business); and
 - (ii) directly or indirectly procure, promote or encourage the redeployment of any Transferred Personnel to any other business operated by Saputo.
- (b) As soon as practicable after the Commencement Date, Saputo must direct its personnel, including directors, contractors, managers, officers, employees and agents not to do anything inconsistent with Saputo's obligations under this Undertaking.

7.4 Saputo's ongoing obligations in relation to the Divestiture Assets

To the extent Saputo has obligations in relation to the provision of transitional technical assistance or continued supply pursuant to clauses 5.4 and 5.5 of this Undertaking in relation to the Divestiture Assets, Saputo must not sell, assign, transfer, and/or licence directly or indirectly any of the assets required by Saputo to fulfil such obligations without the prior written consent of the ACCC.

7.5 Confidential Information

- (a) Subject to clause 7.5(b), Saputo must not, without the consent of the Approved Purchaser, at any time from the earlier of:
 - (i) the Control Date; and
 - (ii) the Divestiture Completion Date,
 use or disclose any confidential information which exclusively relates to the Divestiture Assets gained through:
 - (iii) ownership and/or management of the Divestiture Assets; or
 - (iv) fulfilling any obligations pursuant to this Undertaking.
- (b) Clause 7.5(a) does not apply to information that:
 - (i) is in the public domain or comes into the public domain otherwise than as a result of a breach of this Undertaking or any obligation of confidence owed by Saputo;
 - (ii) also relates to the other assets and liabilities of the Murray Goulburn business acquired by Saputo under the Proposed Acquisition insofar as it relates to the supply of products retained by Saputo under the Non-exclusive Customer Contracts as provided in clause 5.8(d);

- (iii) Saputo requires to comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements;
- (iv) Saputo requires to carry out its obligations pursuant to this Undertaking;
or
- (v) Saputo requires to carry out its obligations pursuant to the Approved Sale and Purchase Agreements, in circumstances where those obligations are consistent with the objectives of this Undertaking,

provided such information is only used for that purpose and, to the extent that it is disclosed to any officers, employees, contractors or advisors of Saputo, such information is only disclosed to those officers, employees, contractors and advisers who need to know the information to carry out the permitted purpose.

8. Independent Management of the Divestiture Assets

8.1 Obligation to appoint an Approved Independent Manager

As from the Control Date, Saputo must appoint and maintain an Approved Independent Manager to manage the Divestiture Assets, until the Divestiture Completion Date in accordance with this Undertaking.

8.2 Process for approving a Proposed Independent Manager

- (a) At least 15 Business Days before the Control Date, Saputo must provide the ACCC with a notice for a Proposed Independent Manager in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Manager Notice**), including a draft terms of appointment and a draft separation and management plan.
- (b) If clause 8.7 applies, Saputo must provide the ACCC with a Proposed Independent Manager Notice within five Business Days after the relevant event occurs, otherwise clause 8.4(b) applies.
- (c) The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Manager identified in the Proposed Independent Manager Notice.
- (d) Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Manager, the factors to which the ACCC may have regard include whether the:
 - (i) person named in the Proposed Independent Manager Notice or identified by the ACCC has the qualifications and experience necessary to manage the Divestiture Assets;
 - (ii) person named in the Proposed Independent Manager Notice or identified by the ACCC is sufficiently independent of Saputo;
 - (iii) draft terms of appointment and the draft separation and management plan are consistent with this Undertaking; and
 - (iv) draft terms of appointment and the draft separation and management plan are otherwise acceptable to the ACCC.

8.3 Appointment of the Approved Independent Manager

- (a) After receiving a written notice from the ACCC of its approval of the Proposed Independent Manager, the draft terms of appointment and draft separation and management plan, Saputo must by the Control Date:
 - (i) appoint the person approved by the ACCC as the Approved Independent Manager on the Approved Terms of Appointment; and
 - (ii) forward to the ACCC a copy of the executed Approved Terms of Appointment.

8.4 Failure to appoint

- (a) If the Approved Independent Manager has not been appointed:
 - (i) by the Control Date;
 - (ii) within 15 Business Days after the Approved Independent Manager resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 8.7; or
 - (iii) if the ACCC has not received a Proposed Independent Manager Notice pursuant to clause 8.2(b),then clause 8.4(b) applies.
- (b) If clause 8.4(a) applies, the ACCC at its discretion may:
 - (i) identify and approve a person as the Approved Independent Manager, including approving the draft terms of appointment of the Approved Independent Manager and the draft separation and management plan; and/or
 - (ii) direct Saputo to appoint a person who the ACCC has deemed is an Approved Independent Manager.

8.5 Obligations and powers of the Approved Independent Manager

- (a) Saputo must procure that any proposed terms of appointment for the Approved Independent Manager include obligations on the Approved Independent Manager to:
 - (i) maintain his or her independence from Saputo, apart from appointment to the role of Approved Independent Manager, including not forming any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Saputo for the period of his or her appointment;
 - (ii) act in the best interests of the Divestiture Assets at all times including ensuring that the Divestiture Assets are managed and operated in the ordinary course of business as a fully operational, competitive going concern and in such a way that preserves the economic viability, marketability, competitiveness and goodwill of the Divestiture Assets at the Control Date;
 - (iii) not use any confidential information gained through the management of the Divestiture Assets other than for performing his or her functions as Approved Independent Manager;

- (iv) make only those Material Changes to the Divestiture Assets which have been approved by the ACCC;
 - (v) operate and manage the Divestiture Assets to the maximum extent practicable, in a manner which is financially and operationally separate from Saputo;
 - (vi) co-operate with the requests of any Approved Divestiture Agent or Approved Independent Auditor appointed pursuant to this Undertaking;
 - (vii) provide the following reports directly to the ACCC:
 - A. a monthly written report regarding the implementation of and any suggested changes to the Approved Separation and Management Plan; and
 - B. an immediate report of any issues that arise in relation to the implementation of the Approved Separation and Management Plan or Saputo's compliance with this Undertaking; and
 - (viii) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Manager pursuant to this Undertaking.
- (b) Saputo must procure that any proposed terms of appointment for the Approved Independent Manager provide the Approved Independent Manager with the sole authority to:
- (i) manage and operate the Divestiture Assets according to the Approved Separation and Management Plan until the Divestiture Completion Date;
 - (ii) provide any information requested by Saputo pursuant to the protocol in the Approved Separation and Management Plan;
 - (iii) decide whether or not to provide access and the manner of such access to competitively sensitive information relating to the Divestiture Assets requested by Saputo which is not covered by the protocol in the Approved Separation and Management Plan;
 - (iv) renew or replace upon expiry Material Contracts for the provision of goods or services to the Divestiture Assets in the ordinary course of business, on the best commercial terms reasonably available to the Divestiture Assets;
 - (v) engage, redeploy or make redundant personnel employed in the Divestiture Assets as the Approved Independent Manager determines necessary; and
 - (vi) engage any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager.

8.6 Saputo's obligations in relation to the Approved Independent Manager

Without limiting its obligations in this Undertaking, Saputo must:

- (a) comply with and enforce the Approved Terms of Appointment of the Approved Independent Manager;

- (b) maintain and fund the Approved Independent Manager to carry out his or her functions, including:
 - (i) indemnifying the Approved Independent Manager for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Manager of his or her functions as the Approved Independent Manager except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Manager;
 - (ii) ensuring that the Approved Independent Manager is fully able to acquire and pay for sufficient and timely delivery of all goods and services (including from third parties) which the Approved Independent Manager considers are required by the Divestiture Assets; and
 - (iii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Manager to perform his or her functions as the Approved Independent Manager;
- (c) on the Control Date, provide to the Approved Independent Manager the Customer Contracts and the Non-exclusive Customer Contracts relating to the Divestiture Assets (any portion of the contracts not relating to the Divestiture Assets being redacted); and
- (d) not interfere with the authority of, or otherwise hinder, the Approved Independent Manager's ability to carry out his or her obligations as the Approved Independent Manager in the ordinary course of business, including:
 - (i) accepting (and directing its directors, contractors, managers, officers, employees and agents to accept) direction from the Approved Independent Manager as to the control, management, financing and operations of the Divestiture Assets, and for the Divestiture Assets to meet all legal, corporate, financial, accounting, taxation, audit and regulatory obligations;
 - (ii) providing access to the facilities, sites or operations of the Divestiture Assets required by the Approved Independent Manager;
 - (iii) providing to the Approved Independent Manager any information or documents that he or she considers necessary for managing and operating the Divestiture Assets or for reporting to or otherwise advising the ACCC;
 - (iv) not requesting information or reports regarding the Divestiture Assets from the personnel of the Divestiture Assets except through the Approved Independent Manager; and
 - (v) not appointing the Approved Independent Manager, or have any Agreements with the Approved Independent Manager, to utilise the Approved Independent Manager's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Manager ceases to act in the role of the Approved Independent Manager.

8.7 Resignation, revocation or termination of the Approved Independent Manager

- (a) Saputo must immediately notify the ACCC in the event that the Approved Independent Manager resigns or otherwise stops acting as the Approved Independent Manager before the Divestiture Completion Date.

- (b) The ACCC may revoke an Approved Independent Manager's status as the Approved Independent Manager if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct, Saputo to terminate the appointment of the Approved Independent Manager if in the ACCC's view the Approved Independent Manager acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

9. Independent Audit

9.1 Obligation to appoint an Approved Independent Auditor

Saputo must appoint and maintain an Approved Independent Auditor to audit and report upon Saputo's compliance with this Undertaking.

9.2 Process for approving a Proposed Independent Auditor

- (a) At least 15 Business Days before the Control Date, Saputo must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- (b) If clause 8.7 applies, Saputo must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 8.4(b) applies.
- (c) The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- (d) Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
 - (i) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
 - (ii) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Saputo;
 - (iii) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
 - (iv) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

9.3 Appointment of the Approved Independent Auditor

After receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Saputo must by the Control Date:

- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

9.4 Failure to appoint

- (a) If the Approved Independent Auditor has not been appointed:
- (i) by the Control Date;
 - (ii) within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Auditor pursuant to clause 8.7; or
 - (iii) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 9.2(b),
- then clause 9.4(b) applies.
- (b) If clause 9.4(a) applies, the ACCC at its absolute discretion may:
- (i) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
 - (ii) direct Saputo to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

9.5 Obligations and powers of the Approved Independent Auditor

- (a) Saputo must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:
- (i) maintain his or her independence from Saputo, apart from appointment to the role of Approved Independent Auditor, including not forming any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Saputo for the period of his or her appointment;
 - (ii) conduct compliance auditing according to the Approved Audit Plan;
 - (iii) provide the following reports directly to the ACCC:
 - A. a scheduled written Audit Report as described in clause 9.6(a); and
 - B. an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
 - (iv) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.
- (b) Saputo must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:
- (i) access the facilities, sites or operations of the Divestiture Assets and Saputo's other assets as required by the Approved Independent Auditor;
 - (ii) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the

Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and

- (iii) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

9.6 Compliance Audit

- (a) The Approved Independent Auditor must conduct an audit and prepare a detailed report (Audit Report) that includes:
 - (i) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
 - (ii) a full audit of Saputo's compliance with this Undertaking;
 - (iii) identification of any areas of uncertainty or ambiguity in the Approved Independent Auditor's interpretation of any obligations contained in this Undertaking;
 - (iv) all of the reasons for the conclusions reached in the Audit Report;
 - (v) any qualifications made by the Approved Independent Auditor in forming his or her views;
 - (vi) any recommendations by the Approved Independent Auditor to improve:
 - A. the Approved Audit Plan;
 - B. the integrity of the auditing process;
 - C. Saputo's processes or reporting systems in relation to compliance with this Undertaking; and
 - D. Saputo's compliance with this Undertaking; and
 - (vii) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- (b) The Approved Independent Auditor is to provide an Audit Report to the ACCC and Saputo at the following times:
 - (i) within 10 Business Days after the Control Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);
 - (ii) every month from the date of the Establishment Audit until one month after the divestiture of the Divestiture Assets is completed;
 - (iii) every three months after the date of provision of the last Audit Report pursuant to clause 9.6(b)(ii), until the ACCC confirms in writing to Saputo that it is satisfied that Saputo has fulfilled its obligations pursuant to this Undertaking; and
 - (iv) a final report due three months after the last report provided pursuant to clause 9.6(b)(iii).

- (c) Saputo must implement any recommendations made by the Approved Independent Auditor in Audit Reports, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- (d) Saputo must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

9.7 Saputo's obligations in relation to the Approved Independent Auditor

Without limiting its obligations in this Undertaking, Saputo must:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
- (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
 - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
- (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
 - (i) directing Saputo personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
 - (ii) providing access to the facilities, sites or operations of the Divestiture Assets and Saputo's other assets as required by the Approved Independent Auditor;
 - (iii) providing to the Approved Independent Auditor any information or documents he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
 - (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
 - (v) not appointing the Approved Independent Auditor, or having any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

9.8 Resignation, revocation or termination of the Approved Independent Auditor

- (a) Saputo must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- (b) The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct, Saputo to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

10. Failure to divest the Divestiture Assets within the Initial Sale Period

10.1 Divestiture of the Unsold Assets

In the event that the divestiture of the Divestiture Assets to an Approved Purchaser is not completed within the Initial Sale Period, the Divestiture Assets becomes an unsold asset (**Unsold Assets**) and the provisions of this clause 10 apply.

10.2 Obligation to appoint an Approved Divestiture Agent

From the end of the Initial Sale Period, Saputo must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Assets.

10.3 Process for approving a Proposed Divestiture Agent

- (a) At least 15 Business Days prior to the end of the Initial Sale Period, or if by that time Saputo is not aware that clause 10 will apply, within 5 Business Days of becoming so aware, if the divestiture of the Divestiture Assets has not been completed, Saputo must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**) including draft terms of appointment, a draft sale agreement, and draft marketing and sale plan.
- (b) If clause 10.8 applies, Saputo must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs, otherwise clause 10.5(b) applies.
- (c) The ACCC shall have the discretion to approve or reject in writing the Proposed Divestiture Agent.
- (d) Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Divestiture Agent, the factors to which the ACCC may have regard include whether the:
 - (i) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
 - (ii) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Saputo;

- (iii) draft terms of appointment, draft sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
- (iv) draft terms of appointment, draft sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.

10.4 Appointment of the Approved Divestiture Agent

After receiving written notice from the ACCC of its approval of the Proposed Divestiture Agent, the draft terms of appointment, draft sale agreement and draft marketing and sale plan, Saputo must within two Business Days:

- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
- (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

10.5 Failure to appoint

- (a) If the Approved Divestiture Agent has not been appointed:
 - (i) within 10 Business Days after the Divestiture Assets becomes an Unsold Assets;
 - (ii) within 15 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clause 10.8; or
 - (iii) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 10.3(b),
 then clause 10.5(b) applies.
- (b) If clause 10.5(a) applies, the ACCC may, at its absolute discretion:
 - (i) identify and approve a person as the Approved Divestiture Agent, including approving the draft terms of appointment of the Approved Divestiture Agent, draft business sale agreement and draft marketing and sale plan; and/or
 - (ii) direct Saputo to appoint a person who the ACCC has deemed is an Approved Divestiture Agent.

10.6 Obligations and powers of the Approved Divestiture Agent

- (a) Saputo must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Divestiture Agent to:
 - (i) divest the Unsold Assets only to an Approved Purchaser, at no minimum price;
 - (ii) maintain his or her independence from Saputo, apart from appointment to the role of Approved Divestiture Agent, including not forming any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Saputo for the period of his or her appointment;
 - (iii) not use any confidential information gained through the divestiture of the Unsold Assets other than for performing his or her functions as Approved Divestiture Agent;
 - (iv) follow the Approved Marketing and Sale Plan;

- (v) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Assets as quickly as possible using the Approved Sale and Purchase Agreement;
- (vi) co-operate with the requests of any Approved Independent Manager or Approved Independent Auditor appointed pursuant to this Undertaking;
- (vii) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
 - A. information regarding the implementation of the Approved Sale and Purchase Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - B. information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
 - C. an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
 - D. a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 10.6(b)(iv));
 - E. the efforts made to sell the Unsold Assets;
 - F. the identity of any advisers engaged;
 - G. the identity of any persons expressing interest in the Unsold Assets; and
 - H. any other information required by the ACCC.
- (viii) within 30 Business Days after the completion of the divestiture of the Unsold Assets, provide a written report directly to the ACCC which includes a final accounting of:
- (ix) any moneys derived from the divestiture of the Unsold Assets;
- (x) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
- (xi) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 10.6(b)(iv));
- (xii) immediately inform the ACCC of:
 - A. any issues that arise in relation to the implementation of the Approved Sale and Purchase Agreement and any Approved Marketing and Sale Plan;
 - B. non-compliance with this Undertaking by any person named in this Undertaking;
 - C. any offers for the Unsold Assets;

- D. accept any offer for the Unsold Assets upon instruction from Saputo given in accordance with clause 10.7(d); and
 - E. follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- (b) Saputo must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (i) negotiate with purchasers to divest the Unsold Assets on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
 - (ii) execute any agreements with the Approved Purchaser required pursuant to clause 6.4(a);
 - (iii) upon instruction pursuant to clause 10.7(d), complete the divestiture of the Unsold Assets to the Approved Purchaser in accordance with the Approved Sale and Purchase Agreement; and
 - (iv) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- (c) Any irrevocable power of attorney granted pursuant to clause 10.6(b) will end upon resignation or termination of the Approved Divestiture Agent in accordance with clause 10.8, or in the event that the Unsold Assets is divested in accordance with this Undertaking.

10.7 Saputo's obligations in relation to the Approved Divestiture Agent

Without limiting its obligations in this Undertaking, Saputo must from the end of the Initial Sale Period:

- (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
- (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
 - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;
 - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
 - (iii) paying such fees as are agreed between the Approved Divestiture Agent and Saputo (but not fees contingent on the price to be obtained for the Unsold Assets); and
 - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Saputo within 15 Business Days after the end of

the Initial Sale Period, Saputo agrees to pay such fees as are directed by the ACCC;

- (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
 - (i) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 10;
 - (ii) providing access to the facilities, sites or operations of the Unsold Assets as required by the Approved Divestiture Agent; and
 - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance he or she considers necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
- (d) within three Business Days after receiving notice from the ACCC pursuant to clause 6.4(a), Saputo must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Assets to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 6.4(a); and
- (e) other than in accordance with clause 10.7(d) of this Undertaking, not instruct the Approved Divestiture Agent to divest the Unsold Assets.

10.8 Resignation, revocation or termination of the Approved Divestiture Agent

- (a) Saputo must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Assets.
- (b) The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- (c) The ACCC may approve any proposal by, or alternatively may direct, Saputo to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

11. Notification of key dates and ACCC requests for information

- (a) Saputo must notify the ACCC and each Undertaking Appointment in writing of:
 - (i) the anticipated date of the Control Date, at least five Business Days before that date;
 - (ii) the anticipated date of the completion of the divestiture of the Divestiture Assets, at least five Business Days before that date;
 - (iii) the occurrence of the Control Date, within one Business Day of that date; and
 - (iv) the occurrence of the completion of the divestiture of the Divestiture Assets, within one Business Day of that date.
- (b) The ACCC may direct Saputo in respect of its compliance with this Undertaking to, and Saputo must:

- (i) furnish information to the ACCC in the time (but no shorter than a reasonable time) and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within Saputo's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (c) Any direction made by the ACCC under clause 11(b) will be notified to Saputo, in accordance with clause 17.1(b).
- (d) In respect of Saputo's compliance with this Undertaking or an Undertaking Appointment's compliance with its Approved Terms of Appointment, the ACCC may request any Undertaking Appointment to:
 - (i) furnish information to the ACCC in the time and in the form requested by the ACCC;
 - (ii) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
 - (iii) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- (e) Saputo will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 11(d).
- (f) Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 11 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- (g) The ACCC may in its discretion to be exercised in good faith:
 - (i) advise any Undertaking Appointment of any request made by it under this clause 11; and/or
 - (ii) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 11.
- (h) Nothing in this clause 11 requires the provision of information or documents in respect of which Saputo has a claim of legal professional or other privilege.

12. Disclosure of this Undertaking

- (a) Saputo and the ACCC agree that **Confidential Schedules 5, 6 and 7** will remain confidential. Saputo may make clauses (a) and (b) of **Confidential Schedule 5**, and **Confidential Schedule 6**, available to potential purchasers on a confidential basis.
- (b) Saputo acknowledges that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking which includes unredacted versions of **Confidential Schedules 5, 6 and 7**.

- (c) Saputo acknowledges that the ACCC may, subject to clause 12(a):
- (i) make this Undertaking publicly available;
 - (ii) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
 - (iii) from time to time publicly refer to this Undertaking.
- (d) Nothing in clause 12(a) or the confidential parts of this Undertaking referred to in clause 12(a) prevents the ACCC from disclosing such information as is:
- (i) required by law;
 - (ii) permitted by section 155AAA of the Act;
 - (iii) necessary for the purpose of enforcement action under section 87B of the Act; or
 - (iv) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.
- (e) Nothing in clause 12(a) or the confidential parts of this Undertaking referred to in clause 12(a) prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.
-

13. Obligation to procure

Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Saputo to take or refrain from taking some action, Saputo will procure that Related Body Corporate to take or refrain from taking that action.

14. No Derogation

- (a) This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Saputo of any term of this Undertaking.
- (b) Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Saputo does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.
-

15. Change of Control

In the event that a Change of Control is reasonably expected to occur, Saputo must

- (a) notify the ACCC of this expectation as soon as practicable; and
- (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on Saputo pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified Saputo in writing that a section 87B undertaking under this clause is not required.

16. Costs

Saputo must pay all of its own costs incurred in relation to this Undertaking.

17. Notices

17.1 Giving Notices

- (a) Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: mergers@accc.gov.au
Attention: Executive General Manager
Merger and Authorisation Review Division

With a copy sent to: mergersru@accc.gov.au

Attention: Director, Remedies Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

- (b) Any notice or communication to Saputo pursuant to this Undertaking must be sent to:

Name: Isabelle Viger, Executive Vice President, Legal Affairs,
Saputo Inc
Address: 6889 Metropolitain Boulevard East, Montreal, Quebec H1P
1X8, Canada
Email Address: Isabelle.Viger@saputo.com
Attention: Executive Vice President, Legal Affairs and copied to:
Michael Corrigan, Partner, Clayton Utz
(mcorrigan@claytonutz.com)

- (c) If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).
- (d) If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

17.2 Change of contact details

- (a) Saputo must notify the ACCC of a change to its contact details within three Business Days.
- (b) Any notice or communication will be sent to the most recently advised contact details and subject to clauses 17.1(c) and 17.1(d), will be taken to be received.

18. Defined terms and interpretation

18.1 Definitions in the Dictionary

A term or expression starting with a capital letter:

- (a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or
- (b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

18.2 Interpretation

Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

Executed as an Undertaking

Executed by Saputo Inc by its authorised signatory



Signature
Martin Gagnon, Executive Vice President,
Mergers and Acquisitions, Saputo Inc.

Name and title

Date: 3rd April 2018

Executed by Saputo Dairy Australia Pty Limited ACN 166 136 466 pursuant to section 127(1) of the Corporations Act 2001 by:



Signature of director

RICHARD WALLACE

Name of director (print)

Date: 3rd April 2018



Signature of director/company secretary

PAUL MOLONEY

Name of director/company secretary (print)

Date: 3rd APRIL 2018

Executed by Warrnambool Cheese and Butter Factory Company Holdings Limited ACN 071 945 232 pursuant to section 127(1) of the Corporations Act 2001 by:



Signature of director

RICHARD WALLACE

Name of director (print)

Date: 3rd APRIL 2018



Signature of director/company secretary

PAUL MOLONEY

Name of director/company secretary (print)

Date: 3rd APRIL 2018

Accepted by the Australian Competition and
Consumer Commission pursuant to section 87B
of the Competition and Consumer Act 2010 on:

3/4/18
Date

And signed on behalf of the Commission

088ms
Chairman

3/4/18
Date:

Schedule 1 - Dictionary and interpretation

1. Dictionary

ACCC means the Australian Competition and Consumer Commission.

Act means the Competition and Consumer Act 2010 (Cth).

Agreements means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

Approved Audit Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

Approved Divestiture Agent means the person approved by the ACCC and appointed under clause 10 of this Undertaking.

Approved Independent Auditor means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

Approved Independent Manager means the person approved by the ACCC and appointed under clause 8 of this Undertaking.

Approved Milk Supply Auditor means the person approved by the ACCC and appointed under clause 5.5 of this Undertaking, who may be the Approved Independent Auditor.

Approved Marketing and Sale Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Assets.

Approved Purchaser means the person approved by the ACCC under clause 6 of this Undertaking.

Approved Sale and Purchase Agreement means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which Saputo will divest the Divestiture Assets to an Approved Purchaser and an Approved Purchaser will acquire the Divestiture Assets from Saputo.

Approved Separation and Management Plan means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Manager will:

- (a) separate the Divestiture Assets from any assets to be retained by Saputo; and
- (b) manage and operate the Divestiture Assets independently of Saputo and any retained assets.

Approved Transitional Supply Agreement means any agreement, for the supply of goods or services (other than Technical Assistance or raw milk supply) by Saputo to the Approved Purchaser, approved by the ACCC in accordance with the terms of this Undertaking.

Approved Transitional Technical Assistance Agreement means any agreement, for the supply of Technical Assistance by Saputo to the Approved Purchaser, approved by the ACCC in accordance with the terms of this Undertaking.

Approved Terms of Appointment means the terms of appointment for the Approved Independent Manager, Approved Independent Auditor, Approved Milk Supply Auditor or

Approved Divestiture Agent, as applicable, as approved by the ACCC in accordance with the terms of this Undertaking.

Associated Entity has the meaning given by section 50AAA of the Corporations Act.

Audit Report has the meaning given to it in clause 9.6(a) of this Undertaking.

Business Day means a day other than a Saturday or Sunday on which banks are open for business generally in the Australian Capital Territory.

Change of Control means:

- (a) the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of Saputo to any other person or entity that may impact compliance with this Undertaking in its entirety; or
- (b) the sale or transfer of any assets necessary, or which may be necessary, to enable compliance with this Undertaking in its entirety.

Commencement Date means the date described in clause 3 of this Undertaking.

Control Date means the date on which the Proposed Acquisition is completed.

Consents means any Government Consents or Third Party Consents.

Corporations Act means the *Corporations Act 2001* (Cth).

Customer Contracts means the customer contracts exclusively relating to the divestiture Assets as described in Part A of **Confidential Schedule 6**.

Divestiture Assets means the business and assets described in Schedule 4 and **Confidential Schedule 6** to this Undertaking, but for the avoidance of doubt does not include any contracts or arrangements for the supply of raw milk.

Divestiture Completion Date means the date the divestiture of the Divestiture Assets is completed.

Entities Connected has the meaning given by section 64B of the Corporations Act.

Establishment Audit has the meaning given to it in clause 9.6(b)(i) of this Undertaking.

Government Consents means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the operation of the Divestiture Assets.

Guaranteed Milk Supply Volume is defined in **Confidential Schedule 5** to this Undertaking.

Holding Company has the meaning given by section 9 of the Corporations Act.

Initial Sale Period is defined in **Confidential Schedule 7** to this Undertaking.

Koroit Personnel means all employees and service providers under a contract for service wholly or primarily engaged in, or necessary for, the operation of the Divestiture Assets.

Koroit Plant means the dairy processing plant located at 39/23 Commercial Road, Koroit, Victoria owned and operated by Murray Goulburn, and including the freehold on which the plant is located (volume 10911, folio 006).

Koroit Transport Fleet is the fleet of vehicles and equipment referred to under that heading in Schedule 4.

Material Change means any change to the structure, attributes, extent or operations of the Divestiture Assets or product or service sold by a Divestiture Assets that may affect, or impact on, the competitiveness of the Divestiture Assets.

Material Contract means any Agreement that is necessary and exclusively used for the operation of the Divestiture Assets.

Milk Supply Guarantee is defined in clause 5.5 of this Undertaking.

Milk Supply Period is defined in **Confidential Schedule 5** of this Undertaking.

Murray Goulburn means Murray Goulburn Co-operative Co. Limited ABN 23 004 277 089.

Non-exclusive Customer Contracts means the customer contracts that do not relate exclusively to the divestiture Assets as described in Part B of **Confidential Schedule 6**.

Proposed Acquisition is defined in clause 2.2 of this Undertaking.

Proposed Divestiture Agent means a person named in a Proposed Divestiture Notice.

Proposed Divestiture Agent Notice has the meaning given to it in clause 10.3 of this Undertaking.

Proposed Independent Auditor means a person named in Proposed Independent Auditor Notice.

Proposed Independent Auditor Notice has the meaning given to it in clause 9.2 of this Undertaking.

Proposed Independent Manager means a person named in a Proposed Independent Manager Notice.

Proposed Independent Manager Notice has the meaning given to it in clause 8.2 of this Undertaking.

Proposed Milk Supply Auditor means a person named in a Proposed Milk Supply Auditor Notice.

Proposed Milk Supply Auditor Notice has the meaning given to it in clause 5.5 as referenced to clause 9.2 of this Undertaking.

Proposed Purchaser means a person named in a Proposed Purchaser Notice.

Proposed Purchaser Notice has the meaning given to it in clause 6.1 of this Undertaking.

Public Mergers Register means the ACCC's public register of merger clearances, available at www.accc.gov.au.

Public Section 87B Undertakings Register means the ACCC's public register of section 87B undertakings, available at www.accc.gov.au.

Related Bodies Corporate has the meaning given to it by section 50 of the Corporations Act.

Related Entities has the meaning given to it by section 9 of the Corporations Act.

Related Parties has the meaning given to it by section 228 of the Corporations Act.

Subsidiary has the meaning given by section 9 of the Corporations Act.

Saputo means the companies referred to in clause 1 of this Undertaking.

Saputo Group means Saputo and each of its Subsidiaries.

Saputo Group Member means each member of the Saputo Group.

Technical Assistance includes advising on technical knowledge documentation, supporting the Approved Purchaser on acquiring specific assets necessary for the ongoing conduct of the Divestiture Assets, providing staff with suitable experience and skills to assist and/or advice on technical issues, assisting in training for the Approved Purchaser's staff, and providing guidance on regulatory and legal aspects relating to the transfer of or application for licences.

Third Party Consents means any Consent from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the operation of the Divestiture Assets, but for the avoidance of doubt does not include any consents required for the novation or assignment of any contracts or arrangements for the supply of raw milk.

Transferred Personnel has the meaning given to it in clause 5.3 of this Undertaking. A list of proposed Transferred Personnel is provided in **Confidential Schedule 8**.

Transport Notice is defined in clause 5.9 of this Undertaking.

Undertaking is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

Undertaking Appointment means the Approved Independent Manager, the Approved Independent Auditor, the Approved Milk Supply Auditor or the Approved Divestiture Agent, as applicable.

Unsold Assets has the meaning given to it in clause 10.1 of this Undertaking.

2. Interpretation

In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;

- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly and similar expressions is to be construed without limitation;
- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
 - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
 - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
 - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
 - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Saputo will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking;
- (q) a reference to:
 - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
 - (ii) a party includes its successors and permitted assigns; and

(iii) a monetary amount is in Australian dollars.

Schedule 2 - Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

Email

Subject line: Proposed Purchaser Notice - Undertaking given to the ACCC under section 87B of the Competition and Consumer Act 2010 (Cth) by Saputo Holdings Limited (ACN 063 780 709)

Address: mergers@accc.gov.au

Attention: Executive General Manager Merger and Authorisation Review Division

With an email copy sent to:

Address: [insert]

Attention: [insert]

1. In relation to the Proposed Purchaser, please provide the following information:

- (a) Name of the Proposed Purchaser:**
- (b) Address:**
- (c) Contact name:**
- (d) Telephone number:**
- (e) Other contact details:**

2. Please attach a submission containing the following information to this form:

- (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business.**
- (b) details of the Proposed Purchaser's experience in the relevant markets.**
- (c) the names of the owner/s and/or the directors of the Proposed Purchaser.**
- (d) details of any of the following types of relationships between Saputo and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:**
 - (i) Saputo and the Proposed Purchaser are Associated Entities;**
 - (ii) Saputo is an Entity Connected with the Proposed Purchaser;**
 - (iii) the Proposed Purchaser is an Entity Connected with Saputo;**
 - (iv) Saputo and the Proposed Purchaser are Related Entities;**

- (v) Saputo and the Proposed Purchaser are Related Parties:
 - (vi) any Related Party, Related Entity or Entity Connected with Saputo is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;
 - (vii) Saputo and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
 - (viii) the Proposed Purchaser is a supplier of Saputo or has been in the past three years;
 - (ix) Saputo is a supplier of the Proposed Purchaser or has been in the past three years; and
 - (x) any other relationship between Saputo and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Saputo:
- (i) whether the draft sale and purchase agreement is consistent with this Undertaking;
 - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
 - (iii) whether the Proposed Purchaser is of good financial standing;
 - (iv) whether the Proposed Purchaser has an intention to maintain and operate the Divestiture Assets as a going concern;
 - (v) whether the Proposed Purchaser is able to conduct the Divestiture Assets effectively;
 - (vi) whether the divestiture of the Divestiture Assets to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Divestiture Assets under the ownership of the Proposed Purchaser; and
 - (vii) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Divestiture Assets, such as outstanding legal action or disputes.

3. Please also attach to this form:

- (a) the finalised draft or executed copy of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking.
- (b) the finalised draft of any transitional technical assistance agreement for approval by the ACCC in accordance with this Undertaking.
- (c) the finalised draft of any transitional supply agreement for approval by the ACCC in accordance with this Undertaking.

- (d) any documents required to support the information provided by Saputo pursuant to this form.

Schedule 3 - Undertaking Appointment

This form sets out the information required by the ACCC in relation to proposed appointment of the following positions under the Undertaking:

- Independent Manager; or
- Approved Milk Supply Auditor
- Independent Auditor; or
- Divestiture Agent;

(the Undertaking Appointments).

This form is to be used for each of the above appointments.

Please note in relation to information given pursuant to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment i.e. Independent Auditor/Divestiture Agent/Independent Manager] *Form* - [insert name of undertaking] to the below email addresses:

1. mergers@accc.gov.au
Attention: Executive General Manager
Merger and Authorisation Review Division
2. With a copy sent to:
mergersru@accc.gov.au
Attention: Director
Remedies Unit
Coordination and Strategy Branch
Merger and Authorisation Review Division

Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor, Divestiture Agent or Independent Manager (i.e. the relevant Undertaking Appointment).

1. Proposed Undertaking Appointment Details:
 - (a) the name of the Proposed Undertaking Appointment; and
 - (b) the name of the proposed Undertaking Appointment's employer and contact details including:
 - Address;
 - Contact name;
 - Telephone number;
 - Other contact details.

2. A submission containing the following information:

- (a) details of the [Undertaking Appointment]'s qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.
- (b) the names of the [owner/s and the directors (delete any that do not apply)] of [the Undertaking Appointment's employer].
- (c) details of any of the following types of relationships between Saputo and [the Undertaking Appointment] or [the Undertaking Appointment's employer] or confirmation that no such relationship exists whether within Australia or outside of Australia:
 - (i) Saputo and [the Undertaking Appointment's employer] are Associated Entities.
 - (ii) Saputo is an Entity Connected with [the Undertaking Appointment's employer].
 - (iii) [The Undertaking Appointment's employer] is an Entity Connected with Saputo.
 - (iv) Saputo and [the Undertaking Appointment's employer] are Related Entities.
 - (v) Saputo and [the Undertaking Appointment's employer] are Related Parties
 - (vi) any Related Party, Related Entity or Entity Connected with Saputo is a Related Party, Related Entity or Entity Connected with [the Undertaking Appointment].
 - (vii) Saputo and [the Undertaking Appointment] or [the Undertaking Appointment's employer] have a contractual relationship or had one within the past three years, other than those attached to this form.
 - (viii) [the Undertaking Appointment's employer] is a supplier of Saputo or has been in the past three years.
 - (ix) Saputo is a supplier of the [the Undertaking Appointment's employer] or has been in the past three years.
 - (x) any other relationship between Saputo and [the Undertaking Appointment] or [the Undertaking Appointment's employer] that allows one to affect the business decisions of the other.

3. A document outlining the terms of appointment for the proposed Undertaking Appointment.

Specific Information required for Undertaking Appointments

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

Proposed Independent Auditor

1. A finalised draft audit plan for the Divestiture Assets, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the establishment audit and the Audit Report.

Proposed Divestiture Agent

1. The finalised draft business sale agreement drafted by the Proposed Divestiture Agent in consultation with Saputo. The draft business sale agreement is to provide for the divestiture of the Unsold Assets.
2. The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Assets.

Proposed Independent Manager

1. The finalised draft separation and management plan for the Divestiture Assets detailing the measures and timing to be implemented by Saputo and the Approved Independent Manager in order to fulfil Saputo's and the Approved Independent Manager's obligations pursuant to this Undertaking. This plan is to be drafted by the Proposed Independent Manager in consultation with Saputo to achieve the objectives of the Undertaking including:
 - (a) the intended mode of operation of the Divestiture Assets until completion of its divestiture;
 - (b) separation measures to ensure the Divestiture Assets is operated in a manner which is financially and operationally separate from Saputo, including the:
 - (i) separation of the books and records of the Divestiture Assets from those of Saputo;
 - (ii) severance of the Divestiture Assets' participation in any private shared information technology networks, to the extent possible without compromising the viability of the Divestiture Assets;
 - (iii) implementation of specific electronic, information and physical security measures to maintain the confidentiality of any competitively sensitive information of the Divestiture Assets; and
 - (iv) severance of arrangements to share personnel and plant between the Divestiture Assets and any businesses to be retained by Saputo, to the extent possible without compromising the viability of the Divestiture Assets;
 - (c) details of contracts for the provision of goods or services to the Divestiture Assets which will expire after the completion of the divestiture of the Divestiture Assets to the Approved Purchaser and the actions which will be taken to ensure they are replaced, renewed and/or renegotiated on commercial terms no less favourable to the Divestiture Assets than the previous terms in force;
 - (d) personnel planning to maintain appropriate personnel levels and ensure that the Divestiture Assets has access to all personnel necessary to operate the Divestiture Assets;
 - (e) any Material Changes to the Divestiture Assets required in order to fulfil Saputo's and the Approved Independent Manager's obligations pursuant to the Undertaking;
 - (f) the cooperation required from the Independent Manager with Saputo in relation to the divestiture of the Divestiture Assets, including:
 - (i) the activities to be conducted by the Independent Manager that are necessary for the effective operation of the Divestiture Assets, having regard to the nature of the Divestiture Assets (including the extent to which the Divestiture Assets already has a management structure in place prior to the proposed acquisition that will be retained during the hold separate period);

- (ii) the method by which due diligence information, site visits and personnel interviews by and to prospective purchasers of the Divestiture Assets will be managed;
- (iii) the method by which the Independent Manager and Saputo will preserve the confidentiality of the Divestiture Assets' competitively sensitive information from Saputo and its advisers throughout this process; and
- (iv) a protocol whereby the Approved Independent Manager can provide any information requested by Saputo without disclosing the details of the Divestiture Assets' competitively sensitive information to Saputo.

Schedule 4 - Divestiture Assets

1. Property

No.	Property Location/Address	Land Zoning	Land Type	Land Purpose	Description	Title Particulars		Lot/Plan No	Land Area (m2)	Date Registered	Parent Title Particulars	
						Volume	Folio				Volume	Folio
1.	23 Commercial Road, Korot, Victoria 3282	Industrial 1	Developed Commercial	Factory	Factory	10911	006	Lots 1-6 TP871813H	20,233	17.4.67 (14.11.05)	-	-
2.	23 Commercial Road, Korot, Victoria 3282	Industrial 1 / Farming	Developed Commercial	Truck servicing lot and vacant land	Factory (Truck servicing lot, rear truck servicing lot, car park, vacant land at south side of car park (known as 12 Midgley Street))	11810	384	PC376365W	18,212	8 August 2016	10060, 10910, 10910, 10910, 11690	441, 533, 642, 643, 116
3.	23 Commercial Road, Korot, Victoria 3282	Farming	Vacant Commercial	Factory	Vacant Land, South of main site	5090	806	Lot 1 on Title Plan 694485Q formerly known as CA22/Sect 48	10,322	9.11.71	5035	814
4.	23 Commercial Road, Korot, Victoria 3282	Industrial 1	Developed Commercial	Factory	Factory	10911	006	Lots 1-6 TP871813H	20,233	17.4.67 (14/11/05)	-	-
5.	23 Commercial Road, Korot, Victoria 3282	Farming	Agricultural	Unused	Adjoins south side of Korot factory/ Old house site Described as 1 Midgley Street	10688	020	1/TP022174E	16,186	12.9.99	Deed 705	Book 647
6.	23 Commercial road, Korot, Victoria 3282	Industrial 1 / Farming	Developed Commercial	Truck servicing lot and vacant land	Factory (Truck servicing lot, rear truck servicing lot, car park, vacant land at south side of car park (known as 12 Midgley Street))	11810	384	PC376365W	18,212	08.08.16	10060, 10910, 10910, 11690	441, 533, 642, 643, 116
7.	266 Depot Road, Korot, Victoria 3282	Farming	Agricultural	Effluent Farm	Known as Woolsthorpe Rd - effluent farm (North)	6460	992	CA34/Sect D	1,412, 600	17.1.78	6166	58

No.	Property Location/Address	Land Zoning	Land Type	Land Purpose	Description	Title Particulars		Lot/Plan No	Land Area (m2)	Date Registered	Parent Title Particulars	
						Volume	Folio				Volume	Folio
8.	266 Depot Road, Korot, Victoria 3282	Farming	Agricultural	Effluent Farm	Known as Woolsthorpe Rd - effluent farm (South)	7919	065	CA1A/Sect 32A	382.600	19.2.88	7135	874
9.	266 Depot Road, Korot, Victoria 3282	Farming	Agricultural	Effluent Farm	Known as Woolsthorpe Rd - effluent farm (South)	7919	064	CA1.5,6/Sect 32A	6,200	19.2.88	1182	276
10.	23 Commercial Road, Korot, Victoria 3282	Farming / Residential ¹	Agricultural	Vacant Land	Vacant Land (previously 17 Mill street), known as 44-46 Mill Street	10185	925	TP002472J	17,498	21.7.95	-	-
11.	36 Mill Street, Korot, Victoria 3282	Residential	Residential	Residential	Residential site	10465	478	1/TP014341H	810	10.02.16	-	-
12.	34 Mill Street, Korot, Victoria 3282	Residential	Residential	Residential	Residential site	10785	549	1/TP837793E	810	10.02.16	-	-
13.	15 Commercial Road, Korot, Victoria 3282	Industrial 3	Residential	Residential	Residential Dwelling	10731	117	1/PS513081N	4,793	26.04.16	10428	525
14.	Not Stated, Korot, Victoria 3283	Farming	Agricultural	Vacant Land	Vacant land Described as Corner Mill St & McVicar Street	11488	690	Crown Allotment 13 Section 48 Parish of Yangery	20,230	26.04.16	-	-

No.	Property Location/Address	Land Zoning	Land Type	Land Purpose	Description	Title Particulars		Lot/Plan No	Land Area (m2)	Date Registered	Parent Title Particulars	
						Volume	Folio				Volume	Folio
15.	14 Mill Street, Koroit, Victoria 3283	Farming	Residential	Residential	Residential site, Brick veneer dwelling	10728	983	1/TP827533P	18,210	26.04.16	-	-
16.	12 Mill Street, Koroit, Victoria 3283	Farming	Residential	Residential	Residential, Old weatherboard dwelling & land	11215	154	1/TP946246C	2,023	26.04.16	-	-
17.	5 Commercial Road, Koroit, Victoria 3283	Industrial 3	Residential	Residential	Residential, Land and weatherboard dwelling	10444	807	1/TP013966U	18,960	26.04.16	-	-
18.	103 McVicar Street, Koroit, Victoria 3283	Farming	Residential	Residential	Weatherboard residential dwelling & farmland	10507	912	1/TP017005J	636	26.04.16	-	-
19.	48 Dolans Road, Koroit, Victoria 3283	Farming	Agricultural	Farmland with residential	Farmland & residential	2100	896	1/TP620346R	2,867	16.05.16	1358	405
20.	48 Dolans Road, Koroit, Victoria 3283	Farming	Agricultural	Farmland with residential	Farmland & residential	5610	989	1/TP411368W	Refer item no 48i	16.05.16	880	819
21.	Mallors Flat-Koroit Road, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (East of McVicar Street, South of Rail Trail)	11168	161	1/PS620007D	12,050	15.08.16	2370, 9442	883,497

No.	Property Location/Address	Land Zoning	Land Type	Land Purpose	Description	Title Particulars		Lod/Plan No	Land Area (m2)	Date Registered	Parent Title Particulars	
						Volume	Folio				Volume	Folio
22.	Mailors Flat-Koroit Road, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (North of Dolans Road, South of Rail Trail)	11168	162	2/PS620007D	27,515	15.08.16	2370, 9442	883, 497
23.	Mailors Flat-Koroit Road, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (South West of corner of Mailors Flat-Koroit Road (Commercial Rd) and Dolans Road)	9442	496	1/TP078745V	12,374	15.08.16	4451	189
24.	Mailors Flat-Koroit Road, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (South of Mailors Flat-Koroit Road and Rail Trail)	9442	495	1/TP086071E	13,310	15.08.16	4451	189
25.	Not Stated, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (North east corner of McVicar Street and Dolans Road)	506	034	1/TP900458Y	23,551	15.08.16	390	925
26.	34 McVicar Street, Koroit, Victoria 3283	Farming	Agricultural	Vacant Land	Farmland (South east corner of McVicar Street and Dolans Road)	8227	545	1/TP242612D	78,689	04.08.16	602	397
27.	22 Mill Street, Koroit, Victoria 3283	Farming	Agricultural	Farmland & Residential	Residential & farmland	11254	735	1/TP947396B	4,047	15.07.16	-	-
28.	26 Mill Street, Koroit, Victoria 3283	Residential	Residential	Residential	Residential	9982	280	1/PS220820X	810	15.07.16	9405	115

No.	Property Location/Address	Land Zoning	Land Type	Land Purpose	Description	Title Particulars		Lot/Plan No	Land Area (m2)	Date Registered	Parent Title Particulars	
						Volume	Folio				Volume	Folio
29.	22 Mill Street, Koror, Victoria 3283	Farming	Agricultural	Farmland & Residential	Residential & farmland	9982	281	2/PS220820X	Refer item no 48q	15.07.15	9405	115
30.	32 Mill Street, Koror, Victoria 3283	General Residential	Residential	Residential	Residential	11695	180	1/TP960484E	809	03.08.16	11686	709
31.	38 Mill Street, Koror, Victoria 3283	General Residential	Residential	Residential	Residential	11695	181	1/TP960483G	809	03.08.16	11686	708
32.	40 Mill Street, Koror, Victoria 3283	General Residential	Residential	Residential	Residential	11618	510	1/TP980482J	811	12.09.16	11686	705
33.	42 Mill Street, Koror, Victoria 3283	General Residential	Residential	Residential	Residential	10847	388	1/TP850529X	809	04.08.16	-	-

2. Inventory

All inventory related to the Divestiture Assets acquired by the Approved Purchaser, (excluding any Devondale branded or trademarked packaging) which is onsite or in transit to the Kororit Plant as at the Divestiture Completion Date Including spare parts, stores, work in progress, finished goods, packaging, raw materials.

3. All plant and equipment located at the Divestiture Assets on the Divestiture Completion Date including any operational permits, IT or technical licences which are transferrable and exclusively relate to the plant and equipment located at the Kororit plant.

4. Koroi Transport Fleet

The milk transport fleet at the Koroi Plant on the Control Date, in accordance with clause 5.9 of this Undertaking and subject to any movements or changes in the ordinary course of business in that fleet between the Control Date and the Divestiture Completion Date as overseen and approved of by the Approved Independent Manager.

Schedule 5 - Confidential Definitions (Confidential)

Confidential

Schedule 6 Confidential - Customer Contracts and Non-exclusive Customer Contracts

Confidential

Part A - Customer Contracts

Part B - Non-exclusive Customer Contracts

Schedule 7 - Confidential Definition (Confidential)

Confidential

In this Undertaking the **Initial sale period** means

Schedule 8 - List of Transferred Personnel (Confidential)

Confidential

Schedule 9 - list of non-milk goods and services associated with the Koroit Plant to be available to approved purchaser on request

Services to be made available by Saputo and negotiated with an Approved Purchaser includes the following; the periods below are estimates of the time reasonably required to arrange alternate services and do not affect Saputo's obligations under clause 5.7(b):

Service or infrastructure	Transitional services to be offered to Approved Purchaser
IT hardware & ERP system	Set up separate company etc and migrate plant across in months after close of Saputo acquisition. Estimated 6 to 9 months to copy SAP and set up a standalone system.
Milk pickup scheduling	Saputo to offer purchaser scheduling as a service. Estimated ~6 months to setup a standalone system.
Sales and Operations planning	Manual from site after ~3 months.
Warehousing for FG	Estimated 3 months to setup new warehousing with third party providers.
Sales and Sales support	Estimated 3 to 6 months to setup standalone sales function at Koroit.
Invoicing, export documentation and shipping	Estimated 3 to 6 months to setup standalone function at Koroit. Could be done manually with resource at site.
Finance including A/P, A/R & Treasury	Estimated 3 to 6 months to setup standalone function at Koroit.
Quality & Environmental Management	Estimated 3 to 6 months to setup standalone function at Koroit.
Engineering Management	Estimated 3 to 6 months to setup standalone function at Koroit.
Procurement Management	Estimated 3 to 6 months to setup standalone function at Koroit.
HR and OH&S Management	Estimated 3 to 6 months to setup standalone function at Koroit.
Payroll	Estimated 3 to 6 months to setup standalone function at Koroit. Outsourcing also a viable option.